EDMOND DE ROTHSCHILD

THE MONTHLY MACRO BRIEF: OUR NEW FORECASTS 2019-2020

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Hiver 2018

OUR NEW MACRO FORECASTS 2019-2020

- Despite the end of the tax cut one-off impact, the US GDP growth should be quite resilient in 2019
- The eurozone could be the big loser of the trade war and should suffer from the political instability
- China's biggest problem is not Trump. It's China
- On our forecasts, the global growth should be stabilised thanks to an additional China fiscal stimulus in the first half of 2019
- The Chinese-American trade tensions are structural and should continue to fuel uncertainty…
- … which force central banks to stay «behind the curve»

EDMOND DE ROTHSCHILD

N° 6
HIVER 2018

PRÉVISIONS MACRO-ÉCO 2019-2020

UNE PUBLICATION DU PÔLE **RECHERCHE ÉCONOMIQUE**

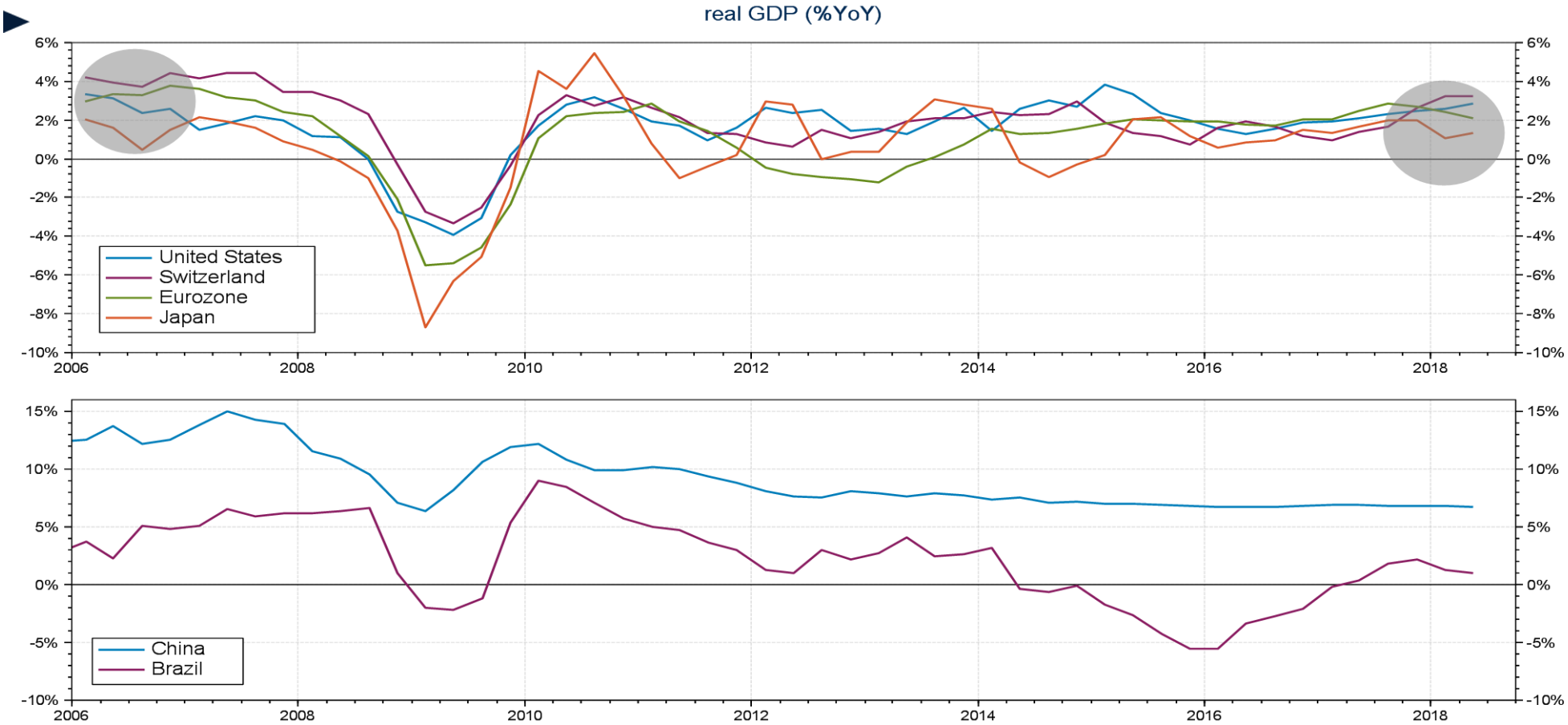
La croissance mondiale suspendue au plan de relance chinois

Double peine pour la zone euro

Les États-Unis ont repris le leadership

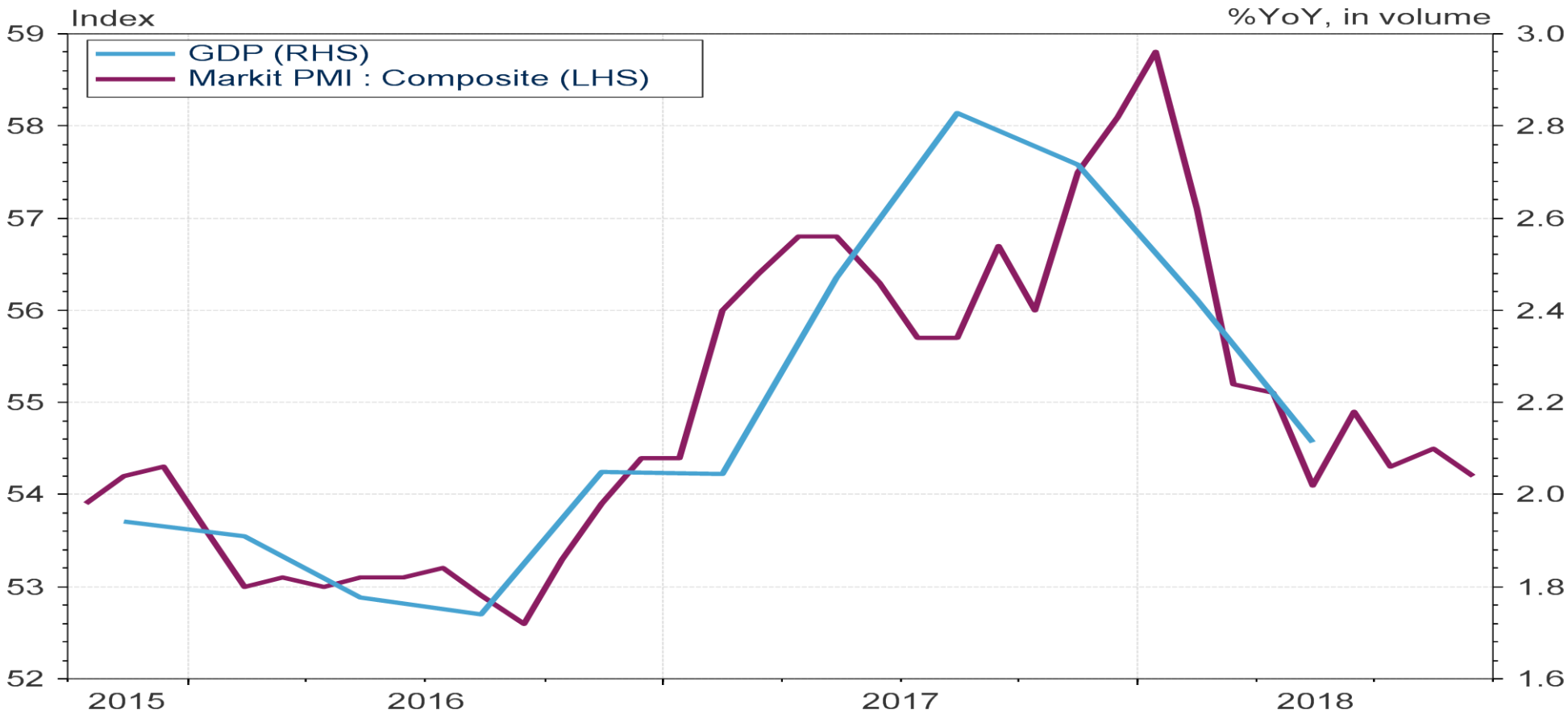
EDMOND DE ROTHSCHILD, L'AUDACE DE BÂTIR L'AVENIR.

1. GLOBAL GROWTH: AMERICAN IS MAKING A COME BACK



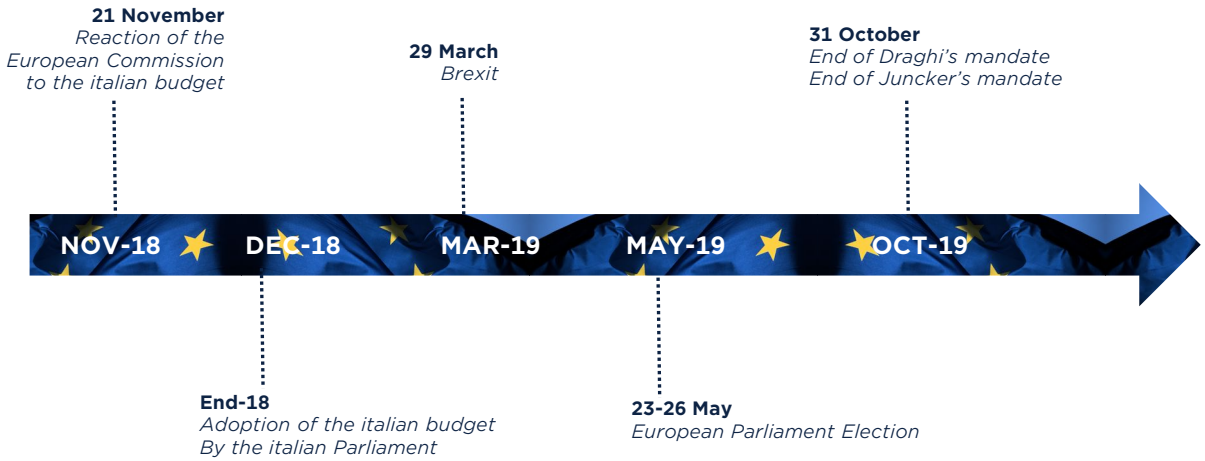
Source: Thomson Reuters Datastream / Edmond de Rothschild

2. THE EUROZONE IS OUT OF THE RACE

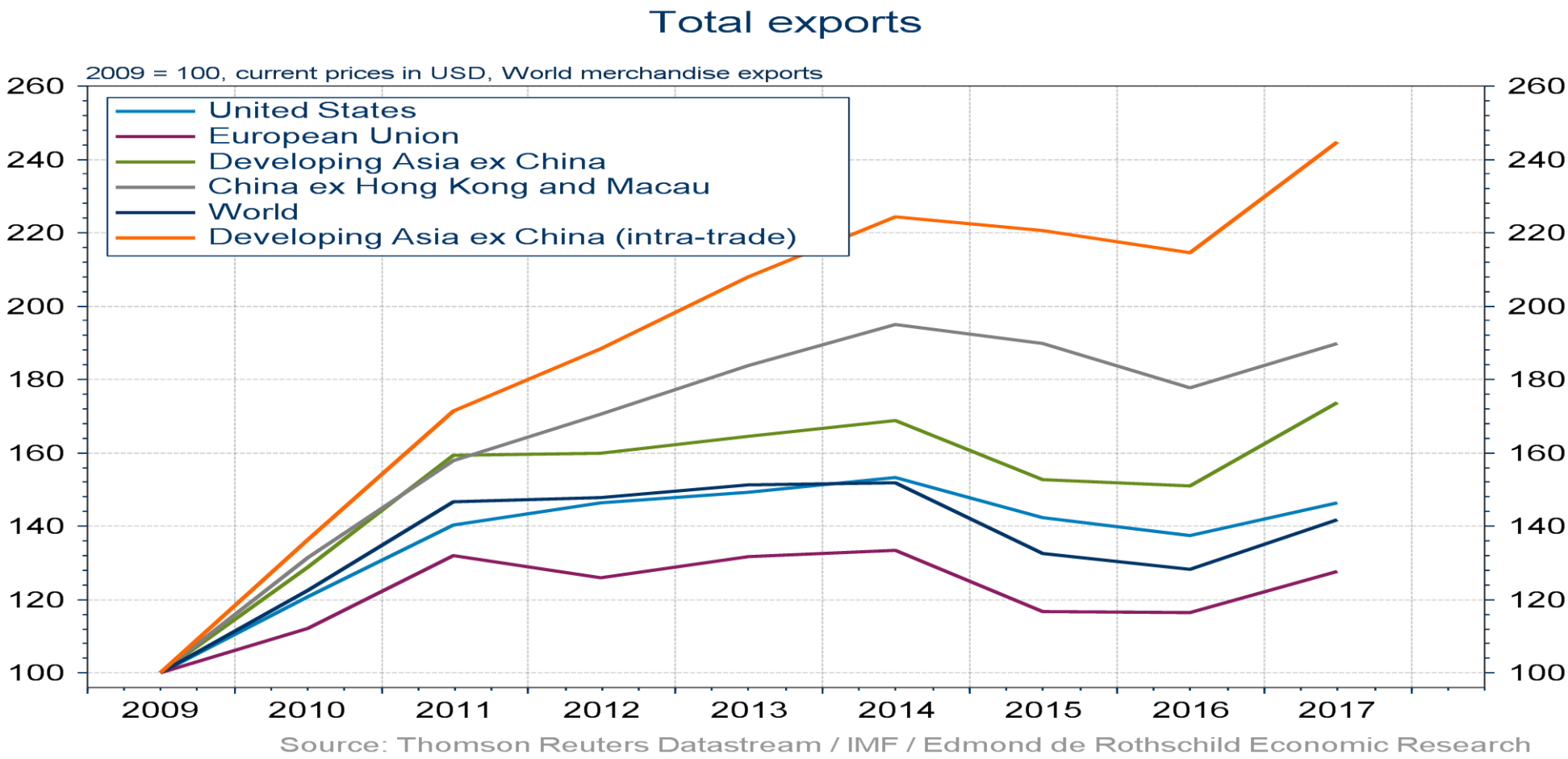


Source: Thomson Reuters Datastream / Eurostat, Markit, Edmond de Rothschild Economic Research

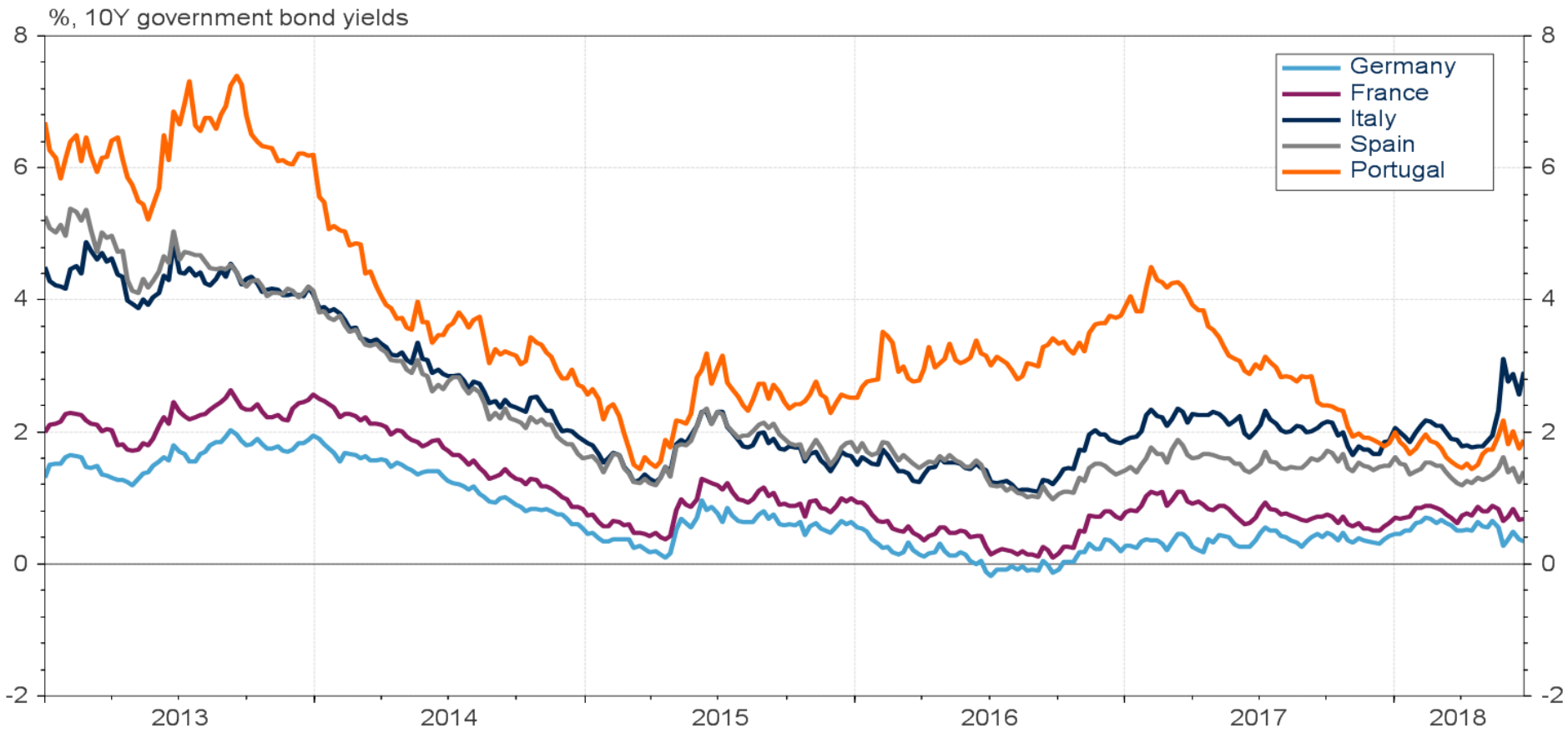
POLITICAL UNCERTAINTY



THE BIG LOSER OF THE TRADE WAR IS LIKELY TO BE THE EUROZONE

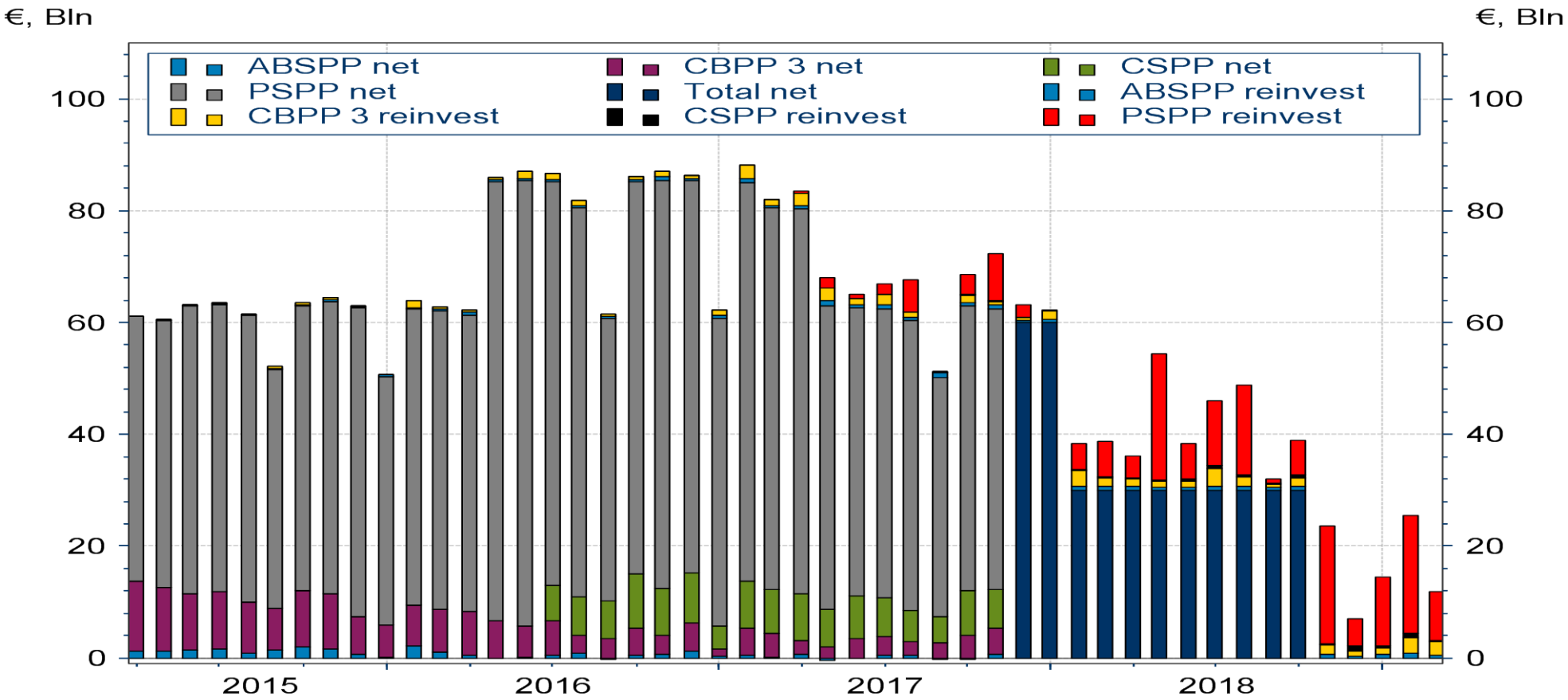


THE ECB'S MONETARY POLICY SHOULD REMAIN DOVISH…



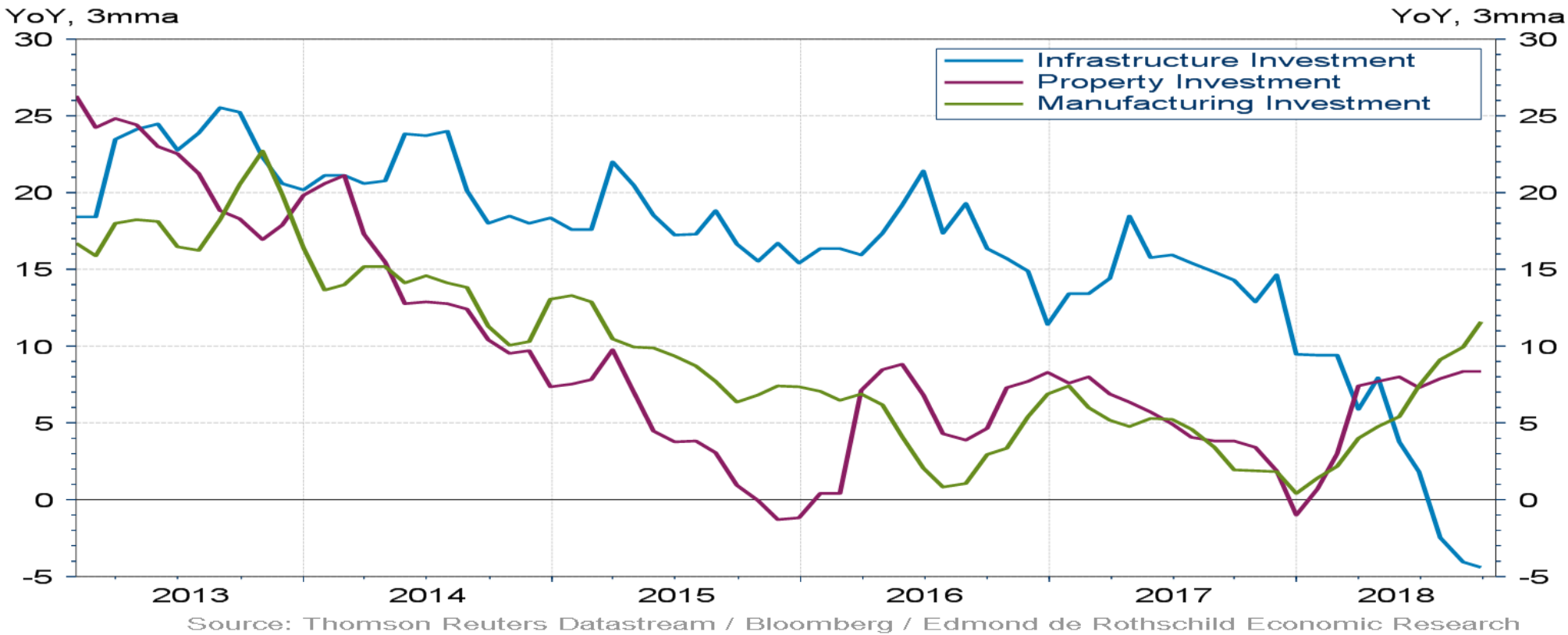
Source: Thomson Reuters Datastream / Edmond de Rothschild Economic Research

… THANKS TO THE ECB'S REINVESTMENT POLICY

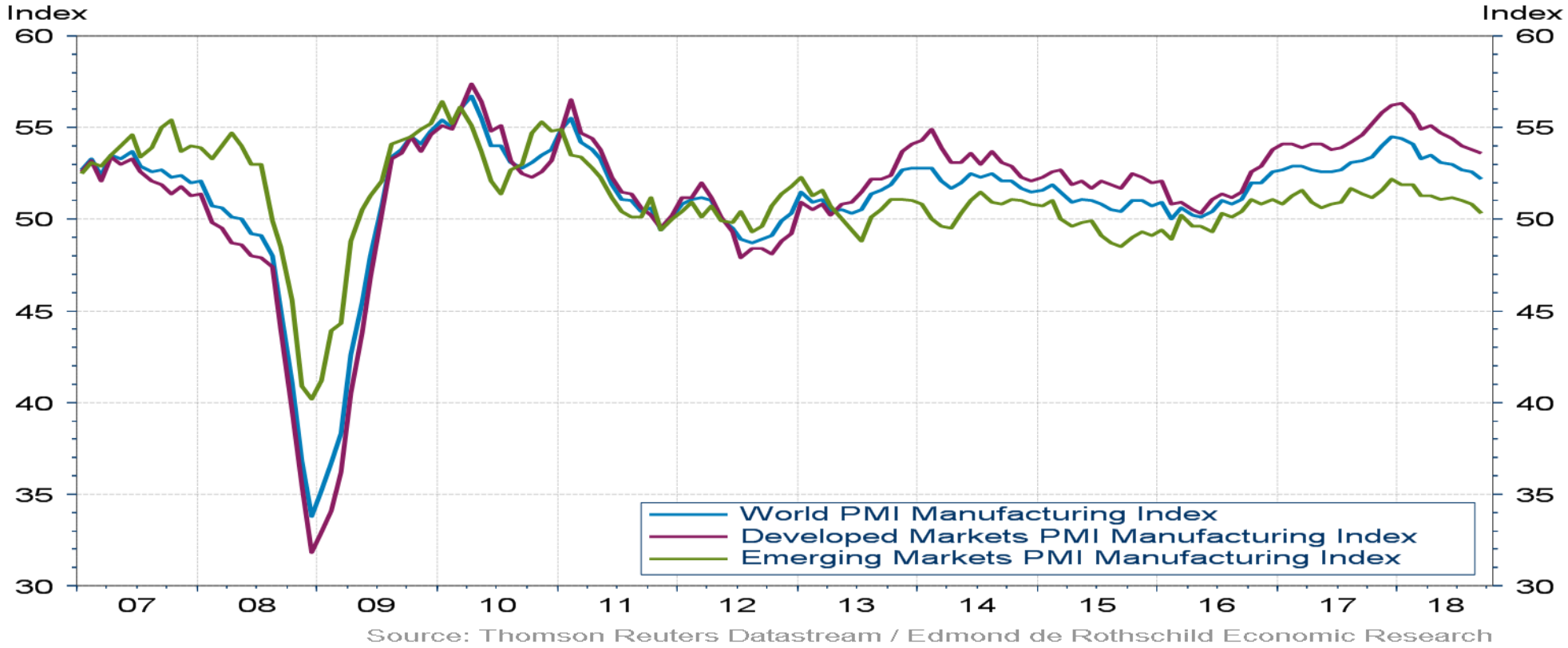


Source: Thomson Reuters Datastream / Edmond de Rothschild Economic Research

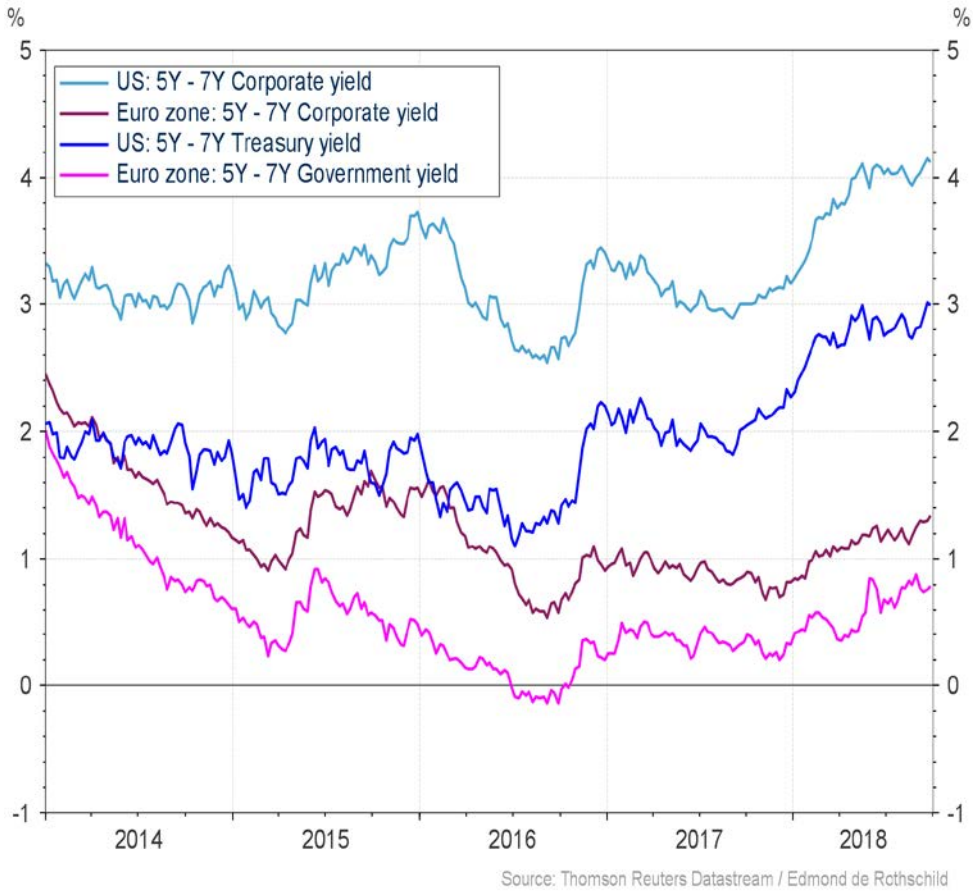
3. CHINA'S BIGGEST PROBLEM IS NOT TRUMP. IT IS CHINA

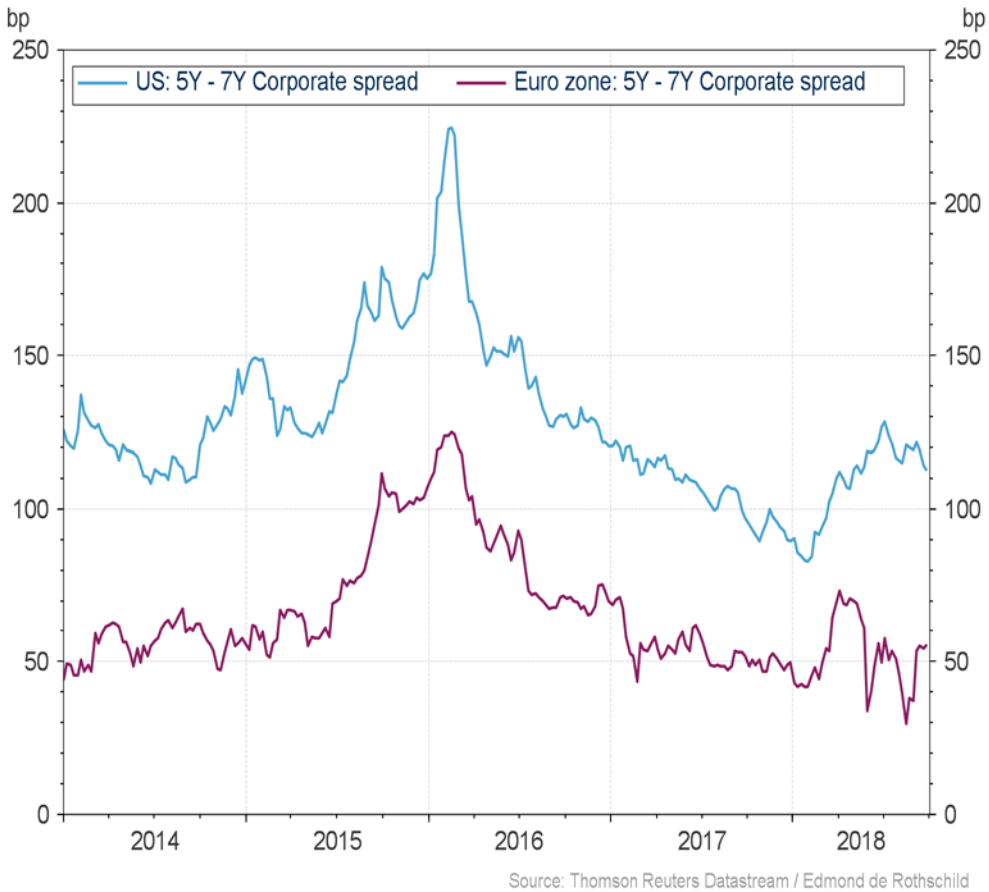


4. GLOBAL GROWTH COULD STABILISE IN AFTER SLOWING DOWN

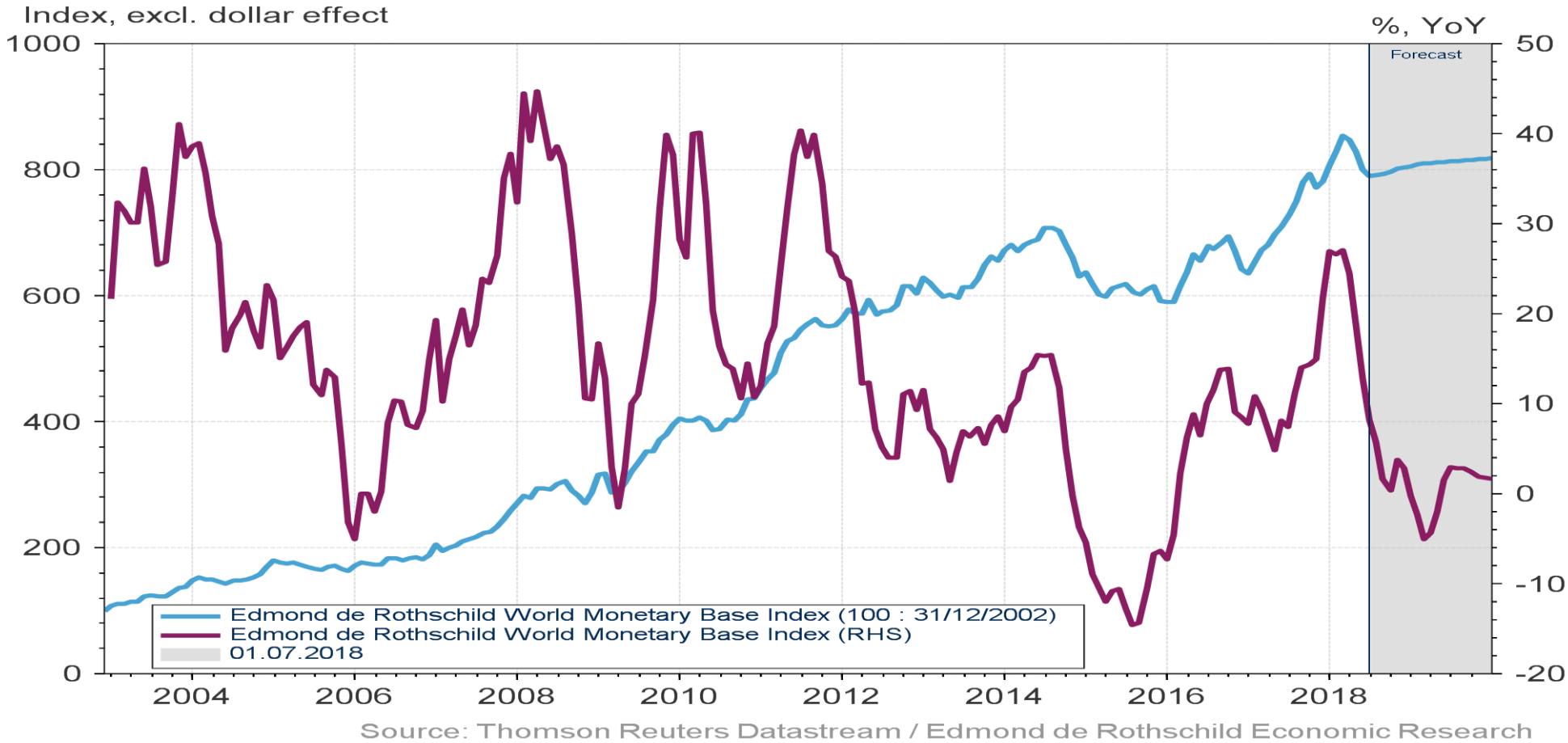


5. UNCERTAINTY IS LIKELY TO FUEL THE BOND MARKET VOLATILITY





6. AS USUAL, THE CENTRAL BANKS ARE LIKELY TO CONTINUE TO BE «BEHIND THE CURVE»



KEY TAKEAWAYS

- The US growth acceleration is not enough to avoid a global slowdown
- Xi Jinping reacts by loosening its monetary and fiscal policies
- The risks associated with growing corporate debt should intensify as well as with the eurozone
- Implications:
  - Upside surprise on global growth thanks to the Chinese fiscal stimulus in the H119
  - Downward risk on Eurozone GDP growth and on Bund yields
  - Gradual rise in interest rate in a persistent low interest rate world
  - Resilient GDP growth in the US
  - Upward pressure on dollar
  - EM sovereigns with high external debt, large current account deficits and low FX reserve are vulnerable

OUR FORECAST AT A GLANCE

OUR GROWTH FORECASTS

GDP GROWTH IN VOLUME (%)	2015	2016	2017	Q1 18	Q2 18	Q3 18	Q4 18f	2018f	C*	Q1 19f	Q2 19f	Q3 19f	Q4 19f	2019f	C*	2020f	C*
United States	2.9	1.6	2.2	2.6	2.9	3.0	3.2	2.9	2.9	2.9	2.6	2.8	2.6	2.7	2.5	2.1	1.9
Eurozone	2.0	1.9	2.5	2.4	2.2	1.7	1.1	1.8	2.0	1.3	1.4	1.5	1.6	1.5	1.8	1.4	1.6
France	1.0	1.1	2.3	2.1	1.7	1.5	1.3	1.6	1.7	1.0	1.6	1.4	1.2	1.3	1.7	1.1	1.6
Germany	1.5	2.2	2.5	2.0	1.9	1.2	1.5	1.7	1.9	1.4	1.6	1.8	1.6	1.6	1.8	1.6	1.5
Spain	3.6	3.2	3.2	2.8	2.5	2.5	2.1	2.5	2.7	2.3	2.5	2.2	1.9	2.2	2.3	1.7	1.9
Italy	0.8	1.3	1.6	1.3	1.2	0.8	0.7	1.0	1.1	0.5	0.6	0.7	0.8	0.7	1.1	0.4	1.0
Luxembourg	4.0	2.4	1.6	3.3	3.1	2.8	3.3	3.1	3.5	3.1	3.1	2.8	2.7	2.9	3.2	2.8	3.0
Portugal	1.8	1.9	2.8	2.2	2.4	1.0	2.0	1.9	2.1	1.5	1.6	1.9	1.8	1.7	1.9	1.5	1.5
Europe ex-Eurozone																	
United Kingdom	2.2	1.8	1.7	1.1	1.2	1.5	1.6	1.3	1.3	1.6	0.6	1.1	0.9	1.1	1.5	0.7	1.6
Switzerland	1.3	1.6	1.7	3.2	3.2	2.7	2.3	2.9	3.0	1.7	1.4	1.6	1.6	1.6	1.7	1.8	1.7
Israel	2.6	3.9	3.3	4.0	3.7	3.1	3.3	3.5	3.5	3.6	3.5	3.5	3.5	3.5	3.4	3.3	3.1
Japan	1.4	1.0	1.7	1.1	1.4	0.4	0.7	0.9	1.1	1.4	1.1	2.2	0.6	1.3	1.1	0.4	0.5
Emerging countries	4.2	3.9	4.8	5.1	4.9	4.7	4.6	4.8	5.0	4.9	5.0	4.8	4.6	4.8	4.9	4.6	5.0
China	6.9	6.7	6.9	6.8	6.7	6.5	6.6	6.7	6.6	6.7	6.7	6.5	6.5	6.6	6.2	6.5	6.0
Brazil	-3.5	-3.5	1.0	1.2	1.0	1.3	1.7	1.3	1.4	2.2	2.2	2.1	2.0	2.1	2.3	2.0	2.5

*Consensus

OUR INFLATION FORECASTS

CONSUMER PRICE INDEX (%)	2015	2016	2017	Q1 18	Q2 18	Q3 18	Q4 18f	2018f	C*	Q1 19f	Q2 19f	Q3 19f	Q4 19f	2019f	C*	2020f	C*
United States	0.1	1.3	2.1	2.2	2.7	2.6	2.6	2.5	2.5	2.6	2.2	2.1	2.3	2.3	2.3	2.3	2.3
Eurozone	0.0	0.2	1.5	1.3	2.0	2.1	2.0	1.8	1.8	2.1	1.7	1.6	1.2	1.6	1.7	1.5	1.7
France	0.1	0.3	1.2	1.7	2.3	2.5	2.5	2.3	2.3	2.5	2.0	1.8	1.6	2.0	2.0	1.6	1.6
Germany	0.2	0.4	1.6	1.5	2.1	1.9	1.8	1.8	1.8	1.9	1.6	1.5	1.5	1.6	1.8	1.6	1.8
Spain	-0.6	-0.3	2.0	1.3	2.3	2.3	2.1	2.0	1.8	2.1	1.8	1.5	1.2	1.7	1.7	1.2	1.6
Italy	0.1	-0.1	1.3	0.9	1.4	1.5	1.5	1.3	1.3	1.6	1.3	1.0	0.9	1.2	1.4	1.0	1.3
Luxembourg	0.1	0.0	2.1	1.2	1.9	2.5	2.7	2.1	1.9	2.3	2.2	1.7	1.5	1.9	2.0	1.8	1.8
Portugal	0.5	0.6	1.6	0.8	2.0	1.8	1.6	1.6	1.4	1.6	1.4	1.4	1.4	1.4	1.6	1.4	1.7
Europe ex-Eurozone																	
United Kingdom	0.1	0.6	2.7	2.4	2.4	2.4	2.0	2.5	2.5	1.8	1.6	1.6	1.6	1.7	2.1	1.8	2.0
Switzerland	-1.1	-0.4	0.5	0.7	1.0	1.1	0.8	0.9	1.0	0.7	0.6	0.6	0.8	0.7	1.0	1.2	1.0
Israel	-0.6	-0.5	0.2	0.2	0.6	1.3	1.2	0.8	0.8	1.1	1.0	1.1	1.2	1.1	1.2	1.4	1.3
Japan	0.8	-0.1	0.5	1.3	0.6	1.1	0.9	1.0	1.0	0.6	1.0	0.9	1.9	1.1	1.1	1.7	1.5
Emerging countries	4.3	3.8	3.0	3.5	3.4	3.8	4.0	3.7	-	4.2	4.4	4.3	4.1	4.3	-	4.0	-
China	1.4	2.0	1.6	2.2	1.8	2.3	2.6	2.2	2.2	2.6	2.7	2.8	2.7	2.7	2.4	2.5	2.3
Brazil	9.0	8.8	3.5	2.8	3.3	4.4	4.6	3.8	3.8	4.6	4.7	4.7	4.5	4.6	4.3	4.3	4.2

*Consensus

OUR FORECAST AT A GLANCE

OUR MONETARY POLICY AND YIELD FORECASTS

INTEREST RATES (%)**	2015	2016	2017	Q1 18	Q2 18	Q3 18	Q4 18f	2018f	C*	Q1 19f	Q2 19f	Q3 19f	Q4 19f	2019f	C*	2020f	C*
United States																	
Benchmark rate	0.50	0.75	1.50	1.75	2.00	2.25	2.50	2.50	2.50	2.75	3.00	3.25	3.25	3.25	3.15	3.25	3.05
2-year yield	0.68	0.83	1.39	2.27	2.53	2.82	2.90	2.63	2.64	3.05	3.20	3.35	3.35	3.24	3.18	3.30	3.31
10-year yield	2.13	1.83	2.33	2.74	2.86	3.06	3.15	2.95	2.97	3.25	3.35	3.40	3.40	3.35	3.38	3.30	3.49
Eurozone																	
Benchmark rate	0.05	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.10	0.50	0.55
2-year Schatz yield	-0.25	-0.59	-0.72	-0.60	-0.67	-0.52	-0.60	-0.60	-0.58	-0.55	-0.55	-0.40	-0.20	-0.43	-0.30	0.20	0.26
10-year Bund yield	0.54	0.14	0.37	0.50	0.30	0.47	0.50	0.42	0.45	0.60	0.60	0.70	0.85	0.69	0.82	1.15	1.22
2-year OAT yield	-0.18	-0.51	-0.48	-0.49	-0.45	-0.36	-0.40	-0.42	-0.41	-0.35	-0.35	-0.20	0.00	-0.23	-0.06	0.40	0.67
10-year OAT yield	0.86	0.48	0.81	0.72	0.67	0.80	0.83	0.73	0.76	0.90	0.90	1.00	1.15	0.99	1.11	1.45	1.67
United Kingdom																	
Benchmark rate	0.50	0.25	0.50	0.50	0.50	0.75	0.75	0.75	0.75	0.75	0.75	1.00	1.00	1.00	1.10	1.25	1.40
2-year yield	0.54	0.29	0.25	0.82	0.72	0.82	0.80	0.79	0.82	0.80	0.85	0.95	1.00	0.90	1.15	1.35	1.63
10-year yield	1.82	1.22	1.20	1.35	1.28	1.57	1.57	1.44	1.43	1.60	1.65	1.70	1.80	1.69	1.82	2.10	2.16
Switzerland																	
Benchmark rate	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.75	-0.50	-0.25	-0.30
2-year yield	-0.89	-0.91	-0.85	-0.85	-0.74	-0.70	-0.75	-0.76	-0.73	-0.70	-0.70	-0.45	-0.25	-0.53	-0.31	0.05	0.15
10-year yield	-0.09	-0.35	-0.09	0.03	-0.06	0.04	0.05	0.01	0.02	0.10	0.15	0.30	0.45	0.25	0.37	0.75	0.75
Japan																	
Benchmark rate	0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	-0.10	0.00	-0.10	0.00
2-year yield	0.01	-0.21	-0.17	-0.13	-0.12	-0.11	-0.10	-0.11	-0.11	-0.10	-0.05	-0.05	-0.05	-0.06	-0.06	0.00	-0.03
10-year yield	0.36	-0.04	0.06	0.05	0.04	0.13	0.15	0.09	0.08	0.15	0.15	0.25	0.25	0.20	0.15	0.35	0.15
Emerging countries																	
Benchmark rates China																	
1 year lending rate	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.35	4.30	4.35	4.10
Reserve Requirement Ratio	17.50	17.00	17.00	17.00	16.00	15.50	14.50	14.50	-	13.50	13.50	13.50	13.50	13.50	-	13.50	-
Benchmark rate Brazil	14.25	13.75	7.00	6.50	6.50	6.50	6.50	6.50	6.65	7.00	7.50	7.75	8.00	8.00	8.20	8.00	7.85

*Consensus ** Sovereign bond yields shown are averages for the annual periods and period-end figures for the quarterly periods

OUR FORECAST AT A GLANCE

OUR CURRENCY FORECASTS

EXCHANGE RATE**	2015	2016	2017	Q1 18	Q2 18	Q3 18	Q4 18f	2018f	C*	Q1 19f	Q2 19f	Q3 19f	Q4 19f	2019f	C*	2020f	C*
Dollar																	
EUR/USD	1.08	1.11	1.13	1.23	1.19	1.16	1.14	1.18	1.18	1.13	1.12	1.14	1.16	1.14	1.24	1.20	1.26
USD/JPY	120	109	112	108	109	112	114	111	110	114	115	115	114	115	109	113	104
GBP/USD	1.47	1.36	1.29	1.39	1.36	1.30	1.30	1.34	1.34	1.29	1.28	1.29	1.30	1.29	1.38	1.30	1.42
USD/CHF	1.01	0.98	0.98	0.95	0.98	0.98	1.00	0.98	0.98	1.02	1.03	1.03	1.02	1.02	0.95	1.00	0.96
USD/CNY	6.28	6.65	6.75	6.36	6.38	6.81	6.96	6.63	6.62	6.88	6.76	6.65	6.65	6.74	6.75	6.65	6.57
USD/BRL	3.34	3.48	3.19	3.24	3.61	3.95	3.76	3.64	3.63	3.70	3.65	3.65	3.65	3.66	3.65	3.65	3.75
Euro																	
EUR/JPY	130	121	127	133	130	130	130	131	130	129	129	131	132	130	135	136	131
EUR/GBP	0.73	0.81	0.88	0.88	0.88	0.89	0.88	0.88	0.88	0.88	0.88	0.88	0.89	0.88	0.90	0.92	0.89
EUR/CHF	1.09	1.09	1.11	1.17	1.17	1.14	1.14	1.15	1.16	1.15	1.15	1.17	1.18	1.16	1.18	1.20	1.21

*Consensus **Period average

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